MORNINGSTAR®

Weekly Highlights

A weekly summary of stock ideas and developments in the companies we cover.

April 6-10, 2026

Contact Information
Morningstar Equity Research
William Kerwin, CFA
william.kerwin@morningstar.com

Read the Full Report: The Future of Networking Is Optical, as Seen at OFC 2026

Important Disclosure
The conduct of Morningstar's analysts is governed by Code of Ethics, Personal Security Trading Policy (or an equivalent of), and Investment Research Integrity Policy. For information regarding conflicts of interest, please visit: http://global.morningstar.com/equitydisclosures

Table of Contents

The Future of Networking Is Optical, as Seen at OFC 2026 3
Key Takeaways 3
Optics Are in Vogue as a Key Driver to Technology Hardware Stocks 4
We Expect CPO to Benefit Our Top Picks, While OCS Looks Far Off 4
Connectivity and Optics Drive Our Calls Across Top Picks in Tech Hardware 6
In the Semiconductor Industry, There's no AI Bubble on the Horizon 7
Global Semis Continue to Outperform the Broader Market 7
The Chip Industry Will Reach the $1 Trillion Milestone Four Years Sooner Than Initially Predicted 8
Semiconductor Trade Data Shows Strong Revenue Growth, Led by AI and Memory Prices 8
Data Center Spending Is Still Booming, With Few Signs of a Near-Term Slowdown 8
Nvidia, Broadcom, and AMD Are All Prospering From Unprecedented Growth in AI Accelerators 9
2026 Poised To Be a Reset Year for PayPal 10
Bulls Say 10
Bears Say 11
Fair Value and Profit Drivers 11
Highlighted Companies 17
Brown Forman: Shares Rally on Reported Interest From Second Buyer; Shares Still Undervalued 17
Icon: Downgrading Moat Rating to None; Yet Shares Appear Undervalued Amid Significant Pullback 18
Meta Platforms: Muse Models May Just Be the Spark That the Firm Needed in AI Model Development 19
Research Methodology for Valuing Companies 20
General Disclosure 22
About Morningstar® Equity Research™ 26

The Future of Networking Is Optical, as Seen at OFC 2026

William Kerwin, CFA | william.kerwin@morningstar.com

We attended OFC 2026 (formerly the Optical Fiber Conference) and came away bullish on optical connectivity across data centers and artificial intelligence infrastructure. Optical connectivity is a significant bottleneck to, and enabler of, data center and AI model performance. We believe advances in optical technologies will be a key driver in enabling the next generation of generative AI models and a key driver of stock appreciation across technology hardware.

We see the primary debate among investors playing the optics trend, centering on co-packaged optics and whether it will fully displace copper connectivity. We came away from OFC with conviction in our long-term thesis that co-packaged optics will complement copper connectivity rather than displace it. While CPO continues to mature, new copper-based technologies and emphatic presentations on the copper roadmap—at an optical show—agreed with our thesis. Our updated belief after OFC is that CPO won't reach high-volume adoption until 2029, and even then, will prove complementary to copper. We see a more-than-five-year roadmap for copper.

A nascent key debate for optical investors is what adoption of optical circuit switching will look like, and whether it will displace Ethernet networking. We came away believing that OCS is years away from high-volume adoption, which we don't expect before 2030. While it was a topic of conversation, actual demonstrations were few and far between. OCS has a high-profile adopter in Google, but we see this as a unique case and complementary to Ethernet. We continue to see Ethernet as the dominant technology for the next 10 years.

Key Takeaways

- OFC 2026 focused on advancements to optical fiber connectivity that enable higher data speeds, inclusive of technology transitions to co-packaged optics, or CPO, and optical circuit switching, or OCS.
- We see optical connectivity as a key bottleneck to, and enabler of, data center and artificial intelligence infrastructure. We believe higher networking and optical speeds are crucial to enable the next generation of AI models.
- Optical connectivity drives many of our top picks in technology hardware. Broadcom, Marvell, Arista, and Amphenol all should benefit from increasing optical proliferation and capitalize on a transition to co-packaged optics. For Marvell, Arista, and Amphenol, this is the largest driver of our calls, making up more than 40% of our valuations on these three.
- We see Corning and Keysight as key beneficiaries and defensive plays for investors worried about disruption from new technologies like co-packaged optics or optical circuit switching. Both firms are agnostic to these technologies and benefit from greater fiber content and complexity. We like trends

toward more optical content for these stocks, but shares have run up significantly as a result. We believe investors can wait for a better entry point.

- We don't expect high-volume adoption for CPO until 2029 and beyond. Even so, we expect it to be a long-term complementary technology to copper and pluggable optics, which we expect to endure for more than five years. When customers use both technologies, they can optimize for performance, cost, power, reliability, flexibility, and avoid vendor lock-in. Marvell, Arista, and Amphenol are strong plays on our complementary thesis.
- We see a long roadmap for pluggable optics technologies alongside rising CPO adoption over the next five years. We came away impressed with advances to pluggable technology, including the newly announced XPO standard and co-packaged copper, or CPC. We expect rising optical adoption over the long term, but we expect copper investments to continue for at least the next five years.
- OCS is a new key debate, with the potential to disrupt the entire existing Ethernet networking paradigm. We see it as a complementary market niche in the medium-term, and we don't expect high-volume adoption for OCS before 2030.

Optics Are in Vogue as a Key Driver to Technology Hardware Stocks

We attended OFC 2026 in Los Angeles in mid-March. It used to be an academic show, but it has grown significantly more important and visible in the age of data centers and AI.

Optical connectivity is a key enabler of data center and AI infrastructure and drives about 35% of revenue today across our well-exposed technology hardware coverage. We have viewed networking and connectivity as a critical bottleneck to AI model performance for some time, as initially outlined in our June 2024 piece, Connecting Generative AI to Rapid Networking Growth. Optics are an ever-important cornerstone to this connectivity. We believe that advances in networking and optical speeds are crucial to rising AI demand and industry ambitions for larger generative AI models in the future. The criticality of optical connectivity is a key driver of many of our top picks in technology hardware. In particular, we see Broadcom, Marvell, Arista, and Amphenol as key beneficiaries of optical investments with meaningful upside for investors to play this trend.

For AI infrastructure, we see speed, power efficiency, and flexibility as the key purchase considerations. Each technology available now and in the future offers a different mix of trade-offs between these competing priorities. We saw major announcements and products focused on the next generations of networking speeds or new architectures that benefited speed and power efficiency.

We Expect CPO to Benefit Our Top Picks, While OCS Looks Far Off

At OFC 2026, our focus centered on debates around emerging technologies, namely CPO and OCS. For CPO, we came away from the conference confident in our thesis that it will be complementary to copper

and pluggable, and observed myriad presentations and booth conversations focused on the strength of copper, despite it being an optical conference. For OCS, we heard lots of discussion and saw fewer demonstrations, which indicates to us that OCS remains a significantly longer-term trend.

CPO brings optical connectivity within a network switch box, connecting directly to the switch chip. This contrasts with the current paradigm, which is a switch chip routing through copper wires on a circuit board in the switch box before converting to an optical signal via a transceiver at the edge of the switch. Compared with pluggable optics, CPO offers better performance, power efficiency, and saves space.

CPO bulls would see this displacing copper and pluggable optical transceivers in the future. This has created a recent bear thesis for share loss at Amphenol (copper connectors) and Marvell (optical transceiver chips in pluggable).

We believe CPO will become more meaningful toward the end of the decade, in 2029 and 2030. Most of our technology hardware coverage looks to be CPO beneficiaries, with high exposure to new content. We see Broadcom and Corning as the biggest net winners of this trend, and for others, we see CPO as a net-neutral impact. We don't foresee a material net loss for Amphenol or Marvell, despite bearish narratives spinning up.

We expect a meaningful inflection for CPO after 2028, but even so, we expect copper and pluggable optics to endure for at least the next five years. We see CPO as a complementary technology to existing copper and pluggable. CPO's major drawbacks are difficult manufacturing, weaker reliability, lower serviceability in the field, and increased vendor lock-in. CPO designs have been around for years, without high-volume adoption due to the drawbacks we outline. We believe that different use cases and customers will lead to a multisource environment in the long term, with copper, pluggable, and CPO all earning solid placements. We came away from OFC with the conviction that copper is here to stay for at least the next five years. To us, Marvell, Arista, and Amphenol are terrific plays on our complementary thesis, as they benefit from both pluggable adoption and CPO.

Optical circuit switching replaces the use of electric signals in networking altogether with physical mirrors that route data via light, even within the switch box. This contrasts with the current paradigm, where a switch chip is based on electrical signals before converting them to optical signals. OCS has been popularized by Google's adoption in its internal infrastructure. OCS bulls would see this displacing Ethernet in the long term, creating a whole new networking paradigm. OCS offers higher networking speeds and improved power efficiency.

We see OCS as an even longer-term time horizon than CPO, but with higher disruption potential to our coverage. We expect it to remain a relative niche over the next five years, and don't expect high-volume adoption before 2030. OCS is a disruption risk to most of our exposed technology hardware coverage, but Corning and Keysight look to be beneficiaries. Corning and Keysight are agnostic to these technologies, with Corning supplying raw fiber and Keysight providing testing equipment.

We expect Ethernet networking to remain the dominant technology in the long term, and we don't foresee a meaningful valuation impact to Broadcom, Marvell, Arista, and others from OCS in the next

five years. OCS's key drawbacks are difficult manufacturing, weaker reliability, and low flexibility. It works well for Google, which can design it into known workloads and optimize completely around it. We don't see it working well for most customers, given the highly variable network architecture. Ethernet remains a standout for its flexibility and open ecosystem, leading to high interoperability among vendors and keeping prices down across the industry.

Connectivity and Optics Drive Our Calls Across Top Picks in Tech Hardware

Our top picks in technology hardware all offer attractive optics exposure. We see Broadcom, Marvell, Arista, and Amphenol all as beneficiaries of rising optical spending and well-positioned to capitalize on a transition to co-packaged optics.

We see Marvell, Arista, and Amphenol as the best options for investors looking to play into optics, given they offer strong upside, with significant revenue driven by networking and optics. While Broadcom is one of our top picks in semis, this predominantly comes outside of optics and from its custom XPU business.

Marvell is the dominant optical chip vendor, which we see as the firm's largest driver. Marvell overwhelmingly captures the market for optical chips (specifically digital signal processors, or DSPs) in data centers that convert electrical signals to optical, and vice versa. Marvell's recent acquisition of Celestial AI also makes it an emerging leader in CPO technology. Marvell looks agnostic about the CPO transition to us, which should allow Marvell to see good growth from both technologies over the next five years.

Arista is a top vendor for Ethernet switch boxes, which are built around Broadcom's switch chips and sell directly into data center racks. This makes up substantially all of Arista's business. We see Arista as agnostic to the CPO/pluggable debate, benefiting from spending on either technology. Arista buys a chip and then builds the hardware and software that make it tick. Arista is already capable of CPO switches, and the CPO debate is occurring at the chip level, not Arista's box level. Arista would be more at risk from OCS, given that it opens a brand-new paradigm for switching overall, and Arista currently doesn't hold OCS exposure. Our base case that OCS is more than five years away from high-volume adoption quells our concerns here.

Amphenol is the top vendor for optical and power connectors within servers and data center racks, which make up a plurality of its sales today. We were pleased to see wide and frequent placement for Amphenol products across booths at OFC. There's a nascent bear thesis for Amphenol that it risks being a net loser in a transition to CPO. We disagree. We see strong placement for the firm across traditional networking architectures and CPO designs. Amphenol loses traditional sockets in CPO, but also gains new placements.

In the Semiconductor Industry, There's no AI Bubble on the Horizon

Read the Full Report: Industry Pulse Semiconductors 2026 Q1

Brian Colello | brian.colello@morningstar.com

We view the semiconductor industry as 18% undervalued on a median price/fair value estimate basis as of March 31, a little cheaper than a quarter ago. AI stocks have not fared well, perhaps out of bubble concerns. We don't foresee a bubble on the horizon, as spending is poised to continue at historic levels.

The median digital chip stock is 19% undervalued, while the median analog/mixed-signal chip stock is 15% undervalued. We now see attractive margins of safety in leading AI chip names, such as Broadcom, AMD, Marvell, and Nvidia. NXP is also cheap in broad-based semis.

Global Semis Continue to Outperform the Broader Market

A $10,000 investment in January 2023 would have grown to over $53,000, bringing investors a 61% annual return through March 31, 2026, versus 18% for the Global Market Index. Forward P/E multiples in semis (across our coverage lists) initially increased with AI but have come back to normalized levels out of AI buildout concerns.

We believe earnings will continue to be stellar in the months ahead, given healthy AI demand and strong pricing, especially in memory. We continue to view many chipmakers as having wide economic moats, underpinned by intangible assets around chip designs and high customer switching costs.

Digital Semiconductors: Digital chips include several product types, but in simple terms, they are processors (at various speeds and levels of complexity) that are the "brains" behind a host of devices. Some examples include CPUs in PCs and smartphones (Intel, Apple), GPUs for AI and graphics (Nvidia), and microcontrollers for a wide range of gadgets.
Memory: Memory stores information rather than processing it. The most common memory products are NAND (flash memory for long-term storage), DRAM (for short-term storage), and, increasingly, High Bandwidth Memory, a type of DRAM used in AI.
Analog Semis: Analog is a broad category, typically defined by its ability to process real-world/wave signals.
Optoelectronics/Discretes/Sensors: *Not addressed in this Pulse.* These include image sensors, laser diodes, LEDs, different sensors (pressure/temperature, and so on), and singular components such as diodes or unintegrated transistors.

The Chip Industry Will Reach the $1 Trillion Milestone Four Years Sooner Than Initially Predicted

In August 2022, a few months before the "Big Bang" event of the launch of ChatGPT, Intel CEO Pat Gelsinger made the bold call (at the time) that the chip industry would emerge as a trillion-dollar industry by 2030.

We now forecast that the AI buildout tailwinds will lift the entire chip industry to over $1.1 trillion of revenue in 2026. Nvidia is leading the way and should generate nearly $350 billion of revenue in calendar 2026 (fiscal 2027). The memory bottleneck and robust pricing uplift should vault Samsung, SK Hynix, and Micron to much higher revenue than initially thought possible.

Looking ahead to 2030, AMD believes that the sub-segment of AI chips and related products will reach $1 trillion of revenue, and our forecasts are in line with this prediction.

Semiconductor Trade Data Shows Strong Revenue Growth, Led by AI and Memory Prices

Looking at World Semiconductor Trade Statistics published by the Semiconductor Industry Association, chip industry growth has accelerated in recent months, thanks to the AI infrastructure buildout. Chip industry billings (akin to revenue) growth rose 33% in October 2025, followed by 39%, 43%, and 58% growth in November, December, and January, respectively. AI demand is leading the way, initially driven by processors but increasingly by the tight memory supply.

Data Center Spending Is Still Booming, With Few Signs of a Near-Term Slowdown

Looking at all data center revenue, including AI processors, Nvidia remains dominant, with traction in its Blackwell and Rubin rack-scale solutions for AI training and inference. We estimate Nvidia is capturing about a third of all AI capex from hyperscalers, a far higher % than Intel or AMD ever captured in traditional data center workloads.

Nvidia's quasi-acquisition of Groq supports its wide moat and sets the company up to address both high bandwidth and low latency inference workloads. Broadcom should emerge as the AI custom chip (ASICs or XPUs) leader, supporting its wide moat.

Nvidia, Broadcom, and AMD Are All Prospering From Unprecedented Growth in AI Accelerators

Nvidia remains at the center of the AI industry. Looking at Nvidia's data center compute business (excluding networking), we're still seeing a once-in-a-generation rise in demand, and we think Nvidia will sell everything it can build in 2026 and 2027, just as it has over the prior three years.
The only hiccup was in second-quarter 2025 with the ban on sales into China, but this ban has been reversed, and the company might see even more upside in 2026 if it can appease China's government and build enough H200s to satisfy a new wave of Chinese AI demand.

Broadcom is the leading AI custom chip (ASIC, or XPU) vendor, most notably via its work with Google on the development of Tensor Processing Units, or TPUs, which Google uses primarily to train and run its Gemini LLM. Google may begin selling TPUs directly to other AI vendors, such as Anthropic (in which Google is an investor), and Meta is reportedly looking into licensing TPUs through Google Cloud. This could lead to even stronger growth for Broadcom, but there may also be an emerging risk that Google may seek to reduce its reliance on Broadcom as an ASIC partner over time.

AMD's emergence as an AI GPU leader has been impressive, but it has been overshadowed by Nvidia's massive growth and an equally impressive (and aggressive) product road map and innovation. We still believe AMD will meet the industry's need for a second, independent GPU vendor, given the flexibility and programmability of AI GPUs compared with custom ASICs. AMD's work with OpenAI will serve as a meaningful "test case" for vendors in 2026, and we're encouraged that Meta is now on board. Like Nvidia, AMD's second-quarter 2025 results were hampered by a ban on AI chip sales to China.

2026 Poised To Be a Reset Year for PayPal

Read the Full Report: 2026 Will Be a Reset Year for PayPal

Brett Horn, CFA | brett.horn@morningstar.com

PayPal's early development of a network of merchants and consumers enabled the company to build and maintain a strong competitive position in the online payments channel. Historically, PayPal's growth had been driven by the ongoing shift toward electronic payments and the rise of e-commerce, which the coronavirus pandemic temporarily accelerated. However, the company has faced headwinds as the pandemic-related positives reversed and new competition emerged. Management has sought to counter pressure on top-line growth by increasing focus on cost control and product innovation, with the goal of shifting to more profitable growth. We see this evolution as the right move, but it will likely take some time to fully execute. Recently, the company announced a new CEO, as the board felt that progress had been too slow.

As a result, 2026 will likely be a transition year. In the long term, we see a mix of competitive opportunities and threats that could lead to a wide range of outcomes. PayPal remains a somewhat unique player within the payments space. We think this remains its key strength, but its position on both the merchant and consumer side could be increasingly challenged over the long run. On the merchant side, new online-focused acquirers have emerged, and financial technology innovation also appears to be concentrated in the e-commerce space. On the consumer side, services such as Apple Pay represent competition for PayPal. Competition on both sides could chip away at PayPal's position. On the other hand, PayPal remains a preferred partner in the online space, its Braintree business is becoming more profitable, and we think Venmo creates option value. In balance, we think the company can hold its own, but we recognize the potential to veer in either direction. PayPal's online focus leaves it relatively exposed to an economic downturn, as online purchases tend to be discretionary. If the macroeconomic picture worsens, it could put more pressure on the company and obscure any underlying improvements.

Bulls Say

- There is still plenty of runway for growth in electronic payments.
- The scalable nature of the business could allow PayPal to improve its margins over time.
- PayPal's long-running experience in online payments is a unique asset that is becoming more valuable as ecommerce becomes a bigger piece of the pie.

Bears Say

- PayPal is increasingly coming into competition with larger companies and recent results suggest its market share is slipping. G
- Alipay and WeChat provide examples of how governments could favor local players, and this could shut PayPal out of a number of emerging market opportunities.
- Opportunities to monetize Venmo could be limited.

Fair Value and Profit Drivers

Our fair value estimate for PayPal is $80 per share, which equates to 15.3 times our projected 2026 adjusted earnings per share estimate. Growth started slowing in 2022 as the company faced some headwinds, and management has faced difficulties in reigniting growth. Going forward, we expect top-line growth to come under more pressure in 2026, as management attempts to reset the business, and macroeconomic issues could potentially create additional issues. However, we think PayPal can return to mid-single-digit revenue growth over the long haul as it rides the secular shift toward electronic payments generally and e-commerce and mobile payments more specifically. Our projections result in a 5% revenue compound annual growth rate over the next five years, with growth picking up modestly in the back half of our projection period.

Margins came under pressure due to the loss of the high-margin eBay relationship, but management more than offset this with sizable cost reductions over the past couple of years. However, the company's comments suggest margins will be pressured in 2026, as management increases investments for growth. We expect margins (adjusted to exclude amortization and one-time expenses) to decline materially in 2026, but thereafter to improve modestly as the company finds a stable base and returns to modest growth. The net effect is adjusted margins at the end of our projection period are 18%, about 2 percentage points below the 2025 level. We use a cost of equity of 9.6% and a weighted-average cost of capital of 8.8% in our valuation.

Payment processing of any type is highly scalable, as once a payment platform is established, there is little incremental cost per transaction. If viewed through the lens of the acquiring industry, PayPal has material scale, with over $1.8 trillion in annual volume, but falls short of the volumes handled by players such as Fiserv and Worldpay. However, the acquiring industry contains niches, and within the e-commerce space, PayPal is a clear leader, which we think places a narrow moat around PayPal's operations.

However, PayPal's branded business is not an acquirer; its unique model centers on a two-sided platform, with PayPal maintaining relationships with both merchants and consumers. We think this approach has material benefits and was instrumental in allowing PayPal to develop its current foothold in the industry. Having information on both sides of the transaction gives PayPal a meaningful edge in combating fraud, which was a very meaningful factor in the early days of the internet, and remains a

key issue. With an ability to combat fraud, PayPal was in a position to become a valued partner on both sides of a payment.

Further, the relative ease of using PayPal in an online transaction materially boosts conversion rates, with PayPal transactions converting at a rate of almost 90%, compared with an industry average of about 50%. This highlights the ease of checkout for consumers and the attraction for merchants. With these dynamics in place, PayPal was able to generate a network effect. We typically think of a network effect as a very strong source of advantage, often giving rise to a wide moat. In PayPal's case, though, we think the effect is much milder, as the company is a relatively small piece of the overall electronic payment infrastructure. We think PayPal will remain a preferred partner in the online world, given the relative convenience and security of its platform, but its market position is not so strong that the company can dictate terms to other players or gobble up increasing amounts of market share. In our view, the limitations of the network effect are most apparent in the company's decision years ago to switch to neutrality in terms of payment choices (that is, to allow consumers to choose their method of funding, as opposed to being defaulted to funding options that are more advantageous for PayPal).

Outside of its legacy PayPal business, we think its Braintree operations also benefit from a narrow moat due to scale-based cost advantages. While Braintree is smaller than competitors Stripe and Adyen, and volume growth is currently constrained by the shift toward more profitable business, it has grown quickly historically and looks to have carved out a position as a long-term leader. We think Venmo benefits from a network effect. However, moats in this area are somewhat speculative, given the lack of profitability and uncertain long-term economics. Given the limited capital needs of the business, historical returns on invested capital have been dramatically higher than any reasonable estimate of the cost of capital.

Stocks on Sale: Wide-Moat Stocks Trading at 4 and 5 Stars

Company	Star Rating	Fair Value Estimate	Current Price	Price/Fair Value	Uncertainty Rating	Moat Rating	Market Cap (B)
WiseTech Global WTC	★★★★★	AUD 138	AUD 38.62	0.27	High	Wide	8.9
Campbell's CPB	★★★★★	USD 56	USD 20.80	0.37	Medium	Wide	6.2
Nike NKE	★★★★★	USD 97	USD 44.00	0.46	High	Wide	65.2
Edenred Group EDEN	★★★★★	EUR 37	EUR 18.10	0.49	High	Wide	4.9
CoStar Group CSGP	★★★★★	USD 76	USD 37.32	0.49	Medium	Wide	15.7
Alibaba Group 09988	★★★★★	HKD 251	HKD 122.90	0.50	High	Wide	306.6
SAP SAP	★★★★★	EUR 265	EUR 139.50	0.53	Medium	Wide	189.9
Jiangsu Yanghe Brewery 002304	★★★★★	CNY 95	CNY 49.92	0.53	Medium	Wide	11.1
Fair Isaac FICO	★★★★★	USD 2020	USD 1,072.35	0.53	High	Wide	25.4
Adyen ADYEN	★★★★★	EUR 1620	EUR 860.00	0.53	High	Wide	31.6
Broadridge Financial BR	★★★★★	USD 290	USD 154.79	0.53	Low	Wide	18.1
Elekta EKTA B	★★★★★	SEK 100	SEK 53.65	0.54	Medium	Wide	2.2
Veeva Systems VEEV	★★★★★	USD 287	USD 157.08	0.55	High	Wide	25.7
Coloplast COLO B	★★★★★	DKK 760	DKK 421.10	0.55	Medium	Wide	14.8
Guidewire Software GWRE	★★★★★	USD 220	USD 124.30	0.57	High	Wide	10.5
Prosus PRX	★★★★★	EUR 72	EUR 41.86	0.58	High	Wide	104.6
Luzhou Laojiao Company 000568	★★★★★	CNY 176	CNY 102.80	0.58	Medium	Wide	22.1
LPL Financial Holdings LPLA	★★★★★	USD 540	USD 314.78	0.58	High	Wide	25.2
RELX REL	★★★★★	GBX 4200	GBP 24.77	0.59	Medium	Wide	59.3
Siemens Healthineers SHL	★★★★★	EUR 63	EUR 37.34	0.59	Medium	Wide	48.6
Pernod Ricard RI	★★★★★	EUR 108	EUR 64.62	0.60	Medium	Wide	19.0
DSM-Firmenich DSFIR	★★★★★	EUR 103	EUR 61.94	0.60	Medium	Wide	18.1
Endeavour Group EDV	★★★★★	AUD 5.4	AUD 3.27	0.60	Low	Wide	4.1
Shanxi Xinghuacun Fen Wine 600809	★★★★★	CNY 230	CNY 139.31	0.60	Medium	Wide	24.8
Universal Music Group UMG	★★★★★	EUR 31	EUR 18.79	0.61	Medium	Wide	40.2
ZOZO 3092	★★★★★	JPY 1800	JPY 1,106.00	0.61	Medium	Wide	6.1
The Estée Lauder Companies EL	★★★★★	USD 120	USD 73.29	0.61	High	Wide	26.5
TransUnion TRU	★★★★	USD 114	USD 70.41	0.62	High	Wide	13.6
Microsoft MSFT	★★★★★	USD 600	USD 373.07	0.62	Medium	Wide	2,770.3
Wuliangye Yibin 000858	★★★★★	CNY 162	CNY 102.60	0.63	Medium	Wide	58.0
Tencent Holdings 00700	★★★★	HKD 800	HKD 508.50	0.63	High	Wide	582.0
Experian EXPN	★★★★★	GBX 4100	GBP 25.91	0.63	Medium	Wide	31.2
Dassault Systemes DSY	★★★★★	EUR 26.7	EUR 16.93	0.63	Medium	Wide	25.9
Pexa Group PXA	★★★★	AUD 18.5	AUD 12.01	0.63	High	Wide	1.5
Unicharm 8113	★★★★★	JPY 1480	JPY 968.50	0.64	Medium	Wide	10.4
Tyler Technologies TYL	★★★★	USD 500	USD 323.68	0.65	High	Wide	13.7
JD.com 09618	★★★★	HKD 172	HKD 111.70	0.65	High	Wide	41.2
Rheinmetall RHM	★★★★★	EUR 2380	EUR 1,550.20	0.65	Medium	Wide	83.6
Oriental Land 4661	★★★★★	JPY 4000	JPY 2,612.50	0.65	Medium	Wide	26.9
Datadog DDOG	★★★★	USD 166	USD 108.98	0.66	High	Wide	38.6

Source: Morningstar. As of April 10, 2026.

Stocks on Sale: Wide-Moat Stocks Trading at 4 and 5 Stars

Company	Star Rating	Fair Value Estimate	Current Price	Price/Fair Value	Uncertainty Rating	Moat Rating	Market Cap (B)
Yum China YUMC	★★★★★	USD 76	USD 50.16	0.66	Medium	Wide	17.6
The Clorox Company CLX	★★★★★	USD 163	USD 107.62	0.66	Medium	Wide	13.0
Nintendo 7974	★★★★★	JPY 12500	JPY 8,531.00	0.66	Medium	Wide	60.3
Sony 6758	★★★★★	JPY 5000	JPY 3,375.00	0.67	Medium	Wide	123.8
Melrose Industries MRO	★★★★★	GBX 800	GBP 5.34	0.67	Medium	Wide	8.9
Equifax EFX	★★★★★	USD 270	USD 181.90	0.67	Medium	Wide	21.9
Diageo DGE	★★★★★	GBX 2140	GBP 14.47	0.68	Medium	Wide	43.1
Symrise SY1	★★★★★	EUR 107	EUR 72.40	0.68	Low	Wide	11.8
Philips PHIA	★★★★	EUR 35	EUR 23.99	0.69	High	Wide	26.6
MarketAxess Holdings MKTX	★★★★	USD 250	USD 172.77	0.69	High	Wide	6.1
James Hardie Industries JHX	★★★★	USD 30	USD 20.75	0.69	High	Wide	12.0
Novo Nordisk NOVO B	★★★★	DKK 343	DKK 238.10	0.69	High	Wide	164.8
Sartorius SRT	★★★★	EUR 241	EUR 167.40	0.69	High	Wide	15.4
Zoetis ZTS	★★★★★	USD 171	USD 119.99	0.70	Medium	Wide	50.5
Nvidia NVDA	★★★★	USD 260	USD 183.91	0.71	Very High	Wide	4,469.0
Aristocrat Leisure ALL	★★★★★	AUD 67	AUD 47.41	0.71	Medium	Wide	20.3
SF Express 002352	★★★★	CNY 52.7	CNY 37.53	0.71	High	Wide	27.3
Broadcom AVGO	★★★★	USD 500	USD 354.91	0.71	High	Wide	1,680.4
Danaher DHR	★★★★	USD 270	USD 192.99	0.71	Medium	Wide	136.6
Zimmer Biomet ZBH	★★★★★	USD 130	USD 93.03	0.72	Medium	Wide	18.0
Masco MAS	★★★★★	USD 88	USD 63.42	0.72	Medium	Wide	12.9
Etsy ETSY	★★★★	USD 74	USD 53.42	0.72	High	Wide	5.1
Agilent Technologies A	★★★★	USD 159	USD 115.39	0.73	Medium	Wide	32.6
Magnum Ice Cream MICC	★★★★	EUR 17	EUR 12.35	0.73	Medium	Wide	8.8
NXP Semiconductors NXPI	★★★★	USD 280	USD 205.67	0.73	High	Wide	52.0
MTU Aero Engines MTX	★★★★	EUR 449	EUR 330.60	0.74	Medium	Wide	20.7
Otis Worldwide OTIS	★★★★★	USD 110	USD 81.25	0.74	Low	Wide	31.6
Meta Platforms META	★★★★	USD 850	USD 628.39	0.74	High	Wide	1,589.5
Taiwan Semiconductor 2330	★★★★	TWD 2700	TWD 1,955.00	0.74	Medium	Wide	1,633.5
HENSOLDT HAG	★★★★	EUR 110	EUR 81.52	0.74	Medium	Wide	11.0
Palo Alto Networks PANW	★★★★	USD 225	USD 166.99	0.74	Very High	Wide	135.4
GE HealthCare GEHC	★★★★	USD 98	USD 72.91	0.74	Medium	Wide	33.3
S&P Global SPGI	★★★★★	USD 570	USD 424.32	0.74	Low	Wide	125.6
Fortinet FTNT	★★★★	USD 108	USD 80.66	0.75	Very High	Wide	59.7
Bureau Veritas BVI	★★★★	EUR 36	USD 31.45	0.75	Medium	Wide	14.0
London Stock Exchange LSEG	★★★★	GBX 11900	GBP 89.88	0.76	High	Wide	59.6
Kenvue KVUE	★★★★	USD 23	USD 17.43	0.76	High	Wide	33.5
Intertek Group. ITRK	★★★★	GBX 4950	GBP 37.70	0.76	Medium	Wide	7.7
Reckitt Benckiser Group RKT	★★★★	GBX 6800	GBP 51.80	0.76	Medium	Wide	44.6
Airbnb ABNB	★★★★	USD 169	USD 129.16	0.76	High	Wide	77.4

Source: Morningstar. As of April 10, 2026.

Stocks on Sale: Wide-Moat Stocks Trading at 4 and 5 Stars

Company	Star Rating	Fair Value Estimate	Current Price	Price/Fair Value	Uncertainty Rating	Moat Rating	Market Cap (B)
Cochlear COH	★★★★	AUD 225	AUD 173.44	0.76	Medium	Wide	7.9
Copart CPRT	★★★★	USD 43	USD 32.99	0.77	Medium	Wide	31.8
Inner Mongolia Yili Industrial 600887	★★★★	CNY 34	CNY 26.12	0.77	Medium	Wide	24.2
Sartorius Stedim Biotech DIM	★★★★	EUR 218	EUR 168.90	0.77	High	Wide	19.2
Bentley Systems BSY	★★★★	USD 43	USD 33.45	0.78	Medium	Wide	10.1
LVMH Moet Hennessy Louis Vuitton MC	★★★★	EUR 620	EUR 483.95	0.78	Medium	Wide	278.9
Synopsys SNPS	★★★★	USD 515	USD 404.92	0.79	High	Wide	77.6
Mondelez International MDLZ	★★★★★	USD 75	USD 59.09	0.79	Low	Wide	75.8
Verisk Analytics VRSK	★★★★	USD 215	USD 169.41	0.79	Medium	Wide	22.2
Heineken HEIA	★★★★	EUR 86	EUR 67.88	0.79	Medium	Wide	44.2
McCormick & Company MKC	★★★★	USD 65	USD 51.44	0.79	Medium	Wide	13.8
Thermo Fisher Scientific TMO	★★★★	USD 630	USD 500.46	0.79	Medium	Wide	186.0
Moody's MCO	★★★★	USD 550	USD 438.22	0.80	Medium	Wide	78.0
Givaudan GIVN	★★★★★	CHF 3500	CHF 2,789.00	0.80	Low	Wide	32.7
Booking Holdings BKNG	★★★★	USD 220	USD 176.60	0.80	High	Wide	139.8
MSCI MSCI	★★★★	USD 680	USD 545.88	0.80	Medium	Wide	39.9
Jack Henry & Associates JKHY	★★★★	USD 191	USD 153.45	0.80	Medium	Wide	11.1
Spirax Group SPX	★★★★	GBX 9100	GBP 73.22	0.80	Medium	Wide	7.2
Blackstone BX	★★★★	USD 145	USD 116.90	0.81	High	Wide	90.8
Polaris (Automotive) PII	★★★★	USD 70	USD 56.46	0.81	High	Wide	3.2
Amphenol APH	★★★★	USD 170	USD 137.68	0.81	Medium	Wide	169.3
Ferrari RACE	★★★★	EUR 370	EUR 300.35	0.81	Medium	Wide	61.8
Kweichow Moutai Company 600519	★★★★	CNY 1780	CNY 1,460.49	0.82	Low	Wide	266.5
Autodesk ADSK	★★★★	USD 275	USD 225.13	0.82	Medium	Wide	47.5
Brown-Forman BF.B	★★★★	USD 37	USD 30.31	0.82	High	Wide	13.9
SKF SKF B	★★★★	SEK 285	SEK 233.70	0.82	Medium	Wide	11.4
Unilever ULVR	★★★★	GBX 5200	GBP 43.09	0.83	Medium	Wide	126.0
The Walt Disney DIS	★★★★	USD 120	USD 99.79	0.83	Medium	Wide	176.8
West Pharmaceutical Services WST	★★★★	USD 310	USD 258.54	0.83	Medium	Wide	18.6
Arista Networks ANET	★★★★	USD 175	USD 146.05	0.83	High	Wide	183.5
Kao (Personal Products) 4452	★★★★	JPY 7300	JPY 6,148.00	0.84	Medium	Wide	17.4
ASX ASX	★★★★	AUD 70	AUD 57.45	0.84	Low	Wide	8.1
Hoshizaki 6465	★★★★	JPY 6300	JPY 5,387.00	0.84	Medium	Wide	4.7
Domino's Pizza DPZ	★★★★	USD 443	USD 373.30	0.84	Medium	Wide	12.6
Computershare CPU	★★★★	AUD 34.5	AUD 29.19	0.85	Medium	Wide	11.9
Bristol-Myers Squibb BMY	★★★★	USD 70	USD 59.47	0.85	Medium	Wide	121.4
Ambev ABEV3	★★★★	BRL 18.9	BRL 16.06	0.85	Medium	Wide	49.2
MercadoLibre MELI	★★★★	USD 2100	USD 1,793.21	0.85	High	Wide	90.9
Entegris ENTG	★★★★	USD 155	USD 132.63	0.86	High	Wide	20.2
TransDigm Group TDG	★★★★	USD 1430	USD 1,225.52	0.86	Medium	Wide	69.2

Source: Morningstar. As of April 10, 2026.

Stocks on Sale: Wide-Moat Stocks Trading at 4 and 5 Stars

Company	Star Rating	Fair Value Estimate	Current Price	Price/Fair Value	Uncertainty Rating	Moat Rating	Market Cap (B)
Allegion ALLE	★★★★	USD 170	USD 146.29	0.86	Medium	Wide	12.6
Safran (Paris) SAF	★★★★	EUR 367	EUR 316.00	0.86	Medium	Wide	152.9
L'Oreal OR	★★★★	EUR 419	EUR 360.95	0.86	Medium	Wide	224.6
Advantest 6857	★★★★	JPY 29000	JPY 24,800.00	0.86	High	Wide	114.3
Roche ROP	★★★★	CHF 364	CHF 316.70	0.87	Low	Wide	319.0
Thales HO	★★★★	EUR 308	EUR 268.20	0.87	Medium	Wide	64.3
BlackRock BLK	★★★★	USD 1150	USD 1,001.62	0.87	High	Wide	155.8
BAE Systems BA.	★★★★	GBX 2600	GBP 22.69	0.87	Medium	Wide	89.1
Shimano 7309	★★★★	JPY 19000	JPY 17,045.00	0.87	Medium	Wide	9.1
The Charles Schwab SCHW	★★★★	USD 111	USD 97.27	0.88	Medium	Wide	169.1
Auckland International Airport AIA	★★★★	NZD 9.3	NZD 8.28	0.89	Low	Wide	8.1
Compagnie Financiere Richemont CFR	★★★★	CHF 172	CHF 151.00	0.89	Medium	Wide	113.9
Sysco SYY	★★★★	USD 84	USD 74.99	0.89	Medium	Wide	35.9
Amazon.com AMZN	★★★★	USD 260	USD 233.65	0.90	Medium	Wide	2,512.7
Nestlé NESN	★★★★	CHF 88	CHF 78.94	0.90	Low	Wide	257.0
Dassault Aviation AM	★★★★	EUR 372	EUR 336.60	0.90	Medium	Wide	30.4
Ecolab ECL	★★★★	USD 300	USD 272.47	0.91	Medium	Wide	77.0
Bank of America BAC	★★★★	USD 58	USD 52.71	0.91	Medium	Wide	376.7
Anheuser-Busch InBev ABI	★★★★	EUR 70	EUR 63.66	0.91	Medium	Wide	144.1
Waters WAT	★★★★	USD 349	USD 317.65	0.91	Medium	Wide	31.2
Murata Manufacturing 6981	★★★★	JPY 4500	JPY 3,990.00	0.92	Medium	Wide	47.6
Intercontinental Exchange ICE	★★★★	USD 174	USD 161.97	0.93	Low	Wide	91.7
Pepsico PEP	★★★★	USD 169	USD 157.49	0.93	Low	Wide	215.3
Schindler Holding SCHN	★★★★	CHF 275	CHF 258.50	0.95	Low	Wide	35.7
Air Liquide AI	★★★★	EUR 194	EUR 187.18	0.96	Low	Wide	125.9

Source: Morningstar. As of April 10, 2026.

Highlighted Companies

	Brown Forman BF.B	**Icon** ICLR*	**Meta Platforms** FRPT
Morningstar Rating	★★★	★★★★	★★★★
Currency	USD	USD	USD
Fair Value Estimate	37	155	850
Current Price	30.31	106.79	628.39
Price/Fair Value	0.82	0.69	0.74
Moat Rating	Wide	None	Wide
Uncertainty	High	High	High
Capital Allocation	Standard	Standard	Standard
Sector	Cons Def	Healthcare	Comm Services
Analyst	Kristoffer Inton	Rachel Elfman	Malik Ahmed Khan, CFA

Source: Morningstar. Data as of April 10, 2026. * Indicates new Morningstar coverage.

Brown Forman: Shares Rally on Reported Interest From Second Buyer; Shares Still Undervalued

On April 9, The Wall Street Journal reported that American spirits maker Sazerac has approached Brown-Forman about a potential deal. This follows last month's report that French spirits maker Pernod Ricard was in acquisition talks with Brown-Forman. Brown-Forman shares rose 13% on the news.

Why it matters: Challenging economic conditions for consumers, as well as headwinds in alcohol consumption, have weighed on Brown-Forman's shares, which are down nearly 60% over the past three years. The reported interest by now two potential buyers confirms our view that shares are undervalued.

- Whereas a combination with Pernod Ricard would offer product and geographic diversity, Sazerac relies heavily on whisky and North America, similar to Brown-Forman. Nevertheless, a competitive sales process increases the likely offer price.
- Brown-Forman and Sazerac are the third- and fourth-largest players in the US whiskey market, respectively. A combination would create a combined 24% market share, ahead of market-leader Suntory's 21%. This could warrant a regulatory review given the increased market concentration.

The bottom line: We maintain our $37 fair value estimate for wide-moat Brown-Forman as well as our High Morningstar Uncertainty Rating. Shares are up 22% in the past month due to the deal rumors, but still trade at an 18% discount to our valuation.

- Our forecasts are unchanged on any potential deal. We forecast a 10-year average annual sales growth of 3% and a 10-year average operating margin of 30%, which are in line with the past decade's average.

- Our fair value estimate implies a 16 times EV/2026 EBITDA multiple. This is within the historical range of deal valuations, so we see support for a price near our intrinsic value estimate.

Icon: Downgrading Moat Rating to None; Yet Shares Appear Undervalued Amid Significant Pullback

While Icon operates on a global scale with expertise in clinical trials and regulatory processes, we no longer view its advantages as durable enough to sustain adjusted returns on invested capital that exceed its cost of capital over the next decade.

Why it matters: Icon's $12 billion acquisition of PRA Health Sciences in 2021 appears to have been value-destructive to the firm's adjusted returns on invested capital. Despite expanding its geographic footprint and service offerings, Icon paid a 30% premium for PRA Health Sciences and assumed substantial goodwill.

- Since the deal, adjusted return on invested capital has fallen below our 8.6% weighted average cost of capital (which we forecast to continue until 2033), indicating synergies have not justified the purchase price and the deal has diluted economic returns rather than strengthened the company's competitive position.
- Over the past couple of years, Icon's performance has reflected a cyclical demand environment with rising cancellations and just 2% revenue growth in 2024. Concerns intensified amid its 2026 accounting probe, with preliminary findings of a 2% revenue overstatement in 2023-24, plus the withdrawal of 2025 guidance.

The bottom line: We've downgraded our Morningstar Economic Moat Rating for Icon to none from narrow. We maintain our High Morningstar Uncertainty Rating and fair value estimate of $155 per share. After a 43% pullback year to date, shares are trading at an attractive 30% discount to our fair value estimate.

- Our low-single-digit sales forecast is driven less by the mechanical revenue correction and more by second-order effects, such as competitive pressure, slower bookings, reputational risks, and internal control concerns, supporting our downgrade to a no-moat rating. If Icon faces market share pressure, it will need to offer discounts to win future business and accept lower-margin contracts, which would reduce growth over the next several years.

.

Meta Platforms: Muse Models May Just Be the Spark That the Firm Needed in AI Model Development

On April 8, Meta launched Muse Spark, a multimodal reasoning model with advanced tool use and agent orchestration capabilities. The model's performance on various industry benchmarks was loosely in line with state-of-the-art models such as Anthropic's Claude Opus 4.6 and Google's Gemini 3.1.

Why it matters: A key bear case against Meta has been that, despite spending tens of billions of dollars on AI, the firm's AI models have lagged those of leading-edge AI labs by a fair margin. We see Muse Spark as the first real model capable of competing with leading AI labs, a major win for Meta.

- We expect Meta to release more advanced versions in the Muse family of models, and we see value accruing to Meta in two key ways. First, we expect the firm's data and ad targeting to improve, as Muse models can better analyze the troves of user data Meta collects for ad purposes.
- Secondly, with better AI features, including health-related ones, we expect Muse models to drive both sessions per day and time-spent-per-session higher, leading to more ad impressions and sales for Meta across its various platforms.

The bottom line: We maintain our $850 fair value estimate for wide-moat Meta. We continue to view shares as materially undervalued, even after accounting for the post-model-launch rally in share price.

Key stats: We noted Meta's disclosure that Muse Spark is significantly more compute-efficient than Llama 4, the firm's previous model, as well as open-source models by Chinese labs, including DeepSeek and Kimi.

- We think this improvement in efficiency is important in the context of digital ads, with Meta now being able to run agentic and reasoning-capable ad optimization and targeting at a lower marginal cost per ad served.

Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. We think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (mines, for example), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss short-term market-price movements), but we believe these negatives are mitigated by deep analysis and our long-term approach.

Morningstar's Equity Research Group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate in Morningstar terminology. Five-star stocks sell for the biggest risk-adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating:

- our assessment of the firm's economic moat.
- our estimate of the stock's fair value.
- our uncertainty around that fair value estimate.
- the current market price.

This process ultimately culminates in our single-point star rating.

Economic Moat

The Morningstar Economic Moat Rating is a structural feature that Morningstar believes positions a firm to earn durable excess profits over a long period of time, with excess profits defined as returns on invested capital above our estimate of a firm's cost of capital. The economic moat rating is not an indicator of the investment performance of the investment highlighted in this report. Narrow-moat companies are those that Morningstar believes are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those that Morningstar believes will earn excess returns for 10 years, with excess returns more likely than not to remain for at least 20 years. Firms without a moat, including those that have a substantial threat of value destruction-related risks related to environmental, social, and governance; industry disruption; financial health; or other idiosyncratic issues, are more susceptible to competition. Morningstar has identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Fair Value Estimate

Each stock's fair value is estimated by using a proprietary discounted cash flow model, which assumes that the stock's value is equal to the total of the free cash flows of the company is expected to generate in the future, discounted back to the present at the rate commensurate with the riskiness of the cash flows. As with any DCF model, the ending value is highly sensitive to Morningstar's projections of future growth.

Fair Value Uncertainty

The Morningstar Uncertainty Rating represents the analysts' ability to bound the estimated value of the shares in a company around the fair value estimate, based on the characteristics of the business underlying the stock, including operating and financial leverage, sales sensitivity to the overall economy, product concentration, pricing power, exposure to material ESG risks, and other company-specific factors. Based on these factors, analysts classify the stock into one of several uncertainty levels: Low, Medium, High, Very High, or Extreme. Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases.

Market Price

The market prices used in this analysis and noted in the report come from exchanges on which the stock is listed, which we believe is a reliable source.

Morningstar Rating for Stocks

The Morningstar Rating for Stocks is a forward-looking, analyst-driven measure of a stock's current price relative to the analyst's estimate of what the shares are worth. Stock star ratings indicate whether a stock, in the equity analyst's educated opinion, is

cheap, expensive, or fairly priced. To rate a stock, analysts estimate what they think it is worth (its "fair value"), using a detailed, long-term cash flow forecast for the company. A stock's star rating depends on whether its current market price is above or below the fair value estimate. Those stocks trading at large discounts to their fair values receive the highest ratings (4 or 5 stars). Stocks trading at large premiums to their fair values receive lower ratings (1 or 2 stars). A 3-star rating means the current stock price is close to the analyst's fair value estimate.

Risk Warning

Please note that investments in securities are subject to market and other risks, and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not continue in the future and is no indication of future performance. A security investment's return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost.

A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating is a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

General Disclosure

"Morningstar" is used throughout this section to refer to Morningstar, Inc., and/or its affiliates, as applicable. Unless otherwise provided in a separate agreement, recipients of this report may only use it in the country in which the Morningstar distributor is based. Unless stated otherwise, the original distributor of the report is Morningstar Research Services LLC, a USA-domiciled financial institution.

This report is for informational purposes only, should not be the sole piece of information used in making an investment decision, and has no regard to the specific investment objectives, financial situation, or particular needs of any specific recipient. This publication is intended to provide information to assist investors in making their own investment decisions, not to provide investment advice to any specific investor. Therefore, investments discussed and recommendations made herein may not be suitable for all investors; recipients must exercise their own independent judgment as to the suitability of such investments and recommendations in the light of their own investment objectives, experience, taxation status, and financial position.

The information, data, analyses, and opinions presented herein are not warranted to be accurate, correct, complete, or timely. Unless otherwise provided in a separate agreement, neither Morningstar, Inc., nor the Research Group represents that the report contents meet all of the presentation and/or disclosure standards applicable in the jurisdiction the recipient is located.

Except as otherwise required by law or provided for in a separate agreement, the analyst, Morningstar, Inc., and the Research Group and their officers, directors, and employees shall not be responsible or liable for any trading decisions, damages, or other losses resulting from, or related to, the information, data, analyses, or opinions within the report. The Research Group encourages recipients of this report to read all relevant issue documents—a prospectus, for example—pertaining to the security concerned, including without limitation, information relevant to its investment objectives, risks, and costs before making an investment decision and, when deemed necessary, to seek the advice of a legal, tax, and/or accounting professional.

The report and its contents are not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country, or other jurisdiction where such distribution, publication, availability, or use would be contrary to law or regulation or that would subject Morningstar, Inc., or its affiliates to any registration or licensing requirements in such jurisdiction.

Where this report is made available in a language other than English and in the case of inconsistencies between the English and translated versions of the report, the English version will control and supersede any ambiguities associated with any part or section of a report that has been issued in a foreign language. Neither the analyst, Morningstar, Inc., nor the Research Group guarantees the accuracy of the translations.

This report may be distributed in certain localities, countries, and/or jurisdictions ("territories") by independent third parties or independent intermediaries and/or distributors ("distributors"). Such distributors are not acting as agents or representatives of the analyst, Morningstar, Inc., or the Research Group. In territories where a distributor distributes our report, the distributor is solely responsible for complying with all applicable regulations, laws, rules, circulars, codes, and guidelines established by local and/or regional regulatory bodies, including laws in connection with the distribution of third-party research reports.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost.

A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

Conflicts of Interest

- No material interests are held by the analyst or their immediate family with respect to the securities subject of this investment research report.
- In general, Morningstar will not hold a material interest in the security subject of this report. If a material interest is held by Morningstar, or if Morningstar owns a net long or short position in the security that is the subject of this report that exceeds 0.5% of the total issued share capital of the security, it will be disclosed at https://www.morningstar.com/company/disclosures/holdings.
- Morningstar employees' compensation is derived from Morningstar, Inc.'s overall earnings and consists of salary, bonus, and in some cases, restricted stock. Morningstar's overall earnings are generated in part by the activities of the Investment Management and Research groups, and other affiliates, that provide services to product issuers.
- Neither Morningstar, Inc., nor its analysts receive commissions, compensation, or other material benefits from product issuers or third parties in connection with this report.
- Morningstar's overall earnings are generated in part by the activities of the Investment Management and Research groups, and other affiliates, who provide services to product issuers. Morningstar does not receive commissions for providing research and does not charge issuers to be rated.
- Morningstar employees may not pursue business or employment opportunities outside Morningstar within the investment industry (including, but not limited to, working as a financial planner, an investment professional or investment professional representative, a broker/dealer or broker/dealer agent, a financial writer, reporter, or analyst) without the approval of Morningstar's Legal and, if applicable, Compliance teams.
- Certain managed investments use an index created by and licensed from Morningstar, Inc. as their tracking index. We mitigate any actual or potential conflicts of interests resulting from that by not producing qualitative analysis on any such managed investment as well as imposing information barriers (both technology and no-technology) where appropriate and monitoring by the compliance department.
- Neither Morningstar, Inc., nor the Research Group is a market maker or a liquidity provider of the securities noted within this report.
- Neither Morningstar, Inc., nor the Research Group has been a lead manager or co-lead manager over the previous 12 months of any publicly disclosed offer of financial instruments of the issuer.
- Morningstar, Inc.'s Investment Management group has arrangements with financial institutions to provide portfolio management/investment advice, some of which an analyst may issue investment research reports on. In addition, the Investment Management group creates and maintains model portfolios whose underlying holdings can include financial products, including securities that may be the subject of this report. However, analysts do not have authority over Morningstar's Investment Management group's business arrangements or allow employees from the Investment Management group to participate or influence the analysis or opinion prepared by them.
- Morningstar, Inc., is a publicly traded company (ticker: MORN) and thus a financial institution the security of which is the subject of this report may own more than 5% of Morningstar, Inc.'s total outstanding shares. Please access Morningstar, Inc.'s proxy statement, section "Security Ownership of Certain Beneficial Owners and Management," at https://shareholders.morningstar.com/investor-relations/financials/sec-filings/default.aspx. A security's holding of Morningstar stock has no bearing on and is not a requirement for which securities Morningstar determines to cover.

Morningstar, Inc. may provide the product issuer or its related entities with services or products for a fee and on an arm's-length basis, including software products and licenses, research and consulting services, data services, licenses to republish our ratings and research in their promotional material, event sponsorship, and website advertising.

Further information on Morningstar's conflict-of-interest policies is available at http://global.morningstar.com/equitydisclosures. Please note analysts are subject to the CFA Institute's Code of Ethics and Standards of Professional Conduct.
For a list of securities the Research Group currently covers and provides written analysis on, or for historical analysis of covered securities, including fair value estimates, please contact your local Morningstar office. Morningstar Research methodologies can be found at Investor Relations | Morningstar, Inc.

For current Morningstar clients, please reach out to your respective Client Success Manager for more information on how you can best leverage this research within your firm. For all others, please reach out to our business development team at dtainsidesales@morningstar.com to learn more about Morningstar's various offerings and more details about how you can leverage this research.

For recipients in Australia: This report has been issued and distributed in Australia by Morningstar Australasia Pty. Ltd. (ABN: 95 090 665 544; ASFL: 240892). Morningstar Australasia Pty. Ltd. is the provider of the general advice ("the service") and takes responsibility for the production of this report. The service is provided through the research of investment products. To the extent the report contains general advice, it has been prepared without reference to an investor's objectives, financial situation, or needs. Investors should consider the advice in light of these matters and, if applicable, the relevant Product Disclosure Statement before making any decision to invest. Refer to our Financial Services Guide for more information at http://www.morningstar.com.au/s/fsg.pdf.

For recipients in New Zealand: This report has been issued and distributed by Morningstar Australasia Pty Ltd and/or Morningstar Research Ltd (together "Morningstar"). This report has been prepared and is intended for distribution in New Zealand to wholesale clients only and has not been prepared for use by New Zealand retail clients (as those terms are defined in the Financial Markets Conduct Act 2013).

The information, views, and any recommendations in this material are provided for general information purposes only, and solely relate to the companies and investment opportunities specified within. Our reports do not take into account any particular investor's financial situation, objectives, or appetite for risk, meaning no representation may be implied as to the suitability of any financial product mentioned for any particular investor. We recommend seeking financial advice before making any investment decision.

For recipients in Canada: This research is not prepared subject to Canadian disclosure requirements.

For recipients in Europe: This report is distributed by Morningstar Holland B.V., a wholly owned subsidiary of Morningstar, Inc. Morningstar Holland B.V. is not required to be regulatory by the European Securities and Markets Authority for the provision of investment research data. The analyst/s involved in the creation of the report do not take into account any particular investor's financial situation, objectives, or appetite for risk, meaning no representation may be implied as to the suitability of any financial product mentioned for any particular investor. Registered address: Haaksbergweg 58, 9th Floor, 1101 BZ Amsterdam, North Holland, Netherlands.

For recipients in India: This report is issued by Morningstar Investment Research India Private Limited (formerly known as Morningstar Investment Adviser India Private Limited). Morningstar Investment Research India Private Limited is registered with SEBI as an Investment Adviser (Registration number INA000001357), as a Portfolio Manager (Registration number INP000006156) and as a Research Entity (Registration Number INH000008686). Morningstar Investment Research India Private Limited has not been the subject of any disciplinary action by SEBI or any other legal/regulatory body. Morningstar Investment Research India Private Limited is a wholly owned subsidiary of Morningstar Investment Management LLC. In India, Morningstar Investment Research India Private Limited has one associate, Morningstar India Private Limited, which provides data related services, financial data analysis, and software development. The Research Analyst has not served as an officer, director, or employee of the fund company within the last 12 months, nor has it or its associates engaged in market making activity for the fund company.

For recipients in Hong Kong: The report is distributed by Morningstar Investment Management Asia Limited, which is regulated by the Hong Kong Securities and Futures Commission to provide investment research and investment advisory services to professional investors only. Neither Morningstar Investment Management Asia Limited, nor its representatives, are acting or will be deemed to be acting as an investment advisor to any recipients of this information unless expressly agreed to by Morningstar Investment Management Asia Limited.

For recipients in Japan: This report is distributed by Morningstar Japan, Inc. for informational purposes only. Neither Morningstar Japan, Inc. nor its representatives are acting or will be deemed to be acting as an investment advisor to any recipients of this information.

For recipients in Korea: The report is distributed by Morningstar Korea Ltd., which has filed to Financial Supervisory Service, for informational purposes only. Neither Morningstar Korea Ltd., nor its representatives, are acting or will be deemed to be acting as an investment advisor to any recipients of this information.

For recipients in Singapore: This report is distributed by Morningstar Investment Adviser Singapore Pte Limited, which is licensed and regulated by the Monetary Authority of Singapore to provide financial advisory services in Singapore. Recipients of this report should contact their financial advisor in Singapore in relation to this report. Morningstar, Inc., and its affiliates rely on certain

exemptions (Financial Advisers Regulations, Section 27(1)(e), Section 32, Band 32C) to provide its investment research to recipients in Singapore.

For recipients in the United Kingdom: This report is distributed by Morningstar UK Ltd, a wholly owned subsidiary of Morningstar, Inc. Morningstar UK Ltd. is not required to be registered nor authorized by the Financial Conduct Authority for the distribution of investment research data. The analyst/s involved in the creation of the report do not take into account any particular investor's financial situation, objectives, or appetite for risk, meaning no representation may be implied as to the suitability of any financial product mentioned for any particular investor. There are information barriers in place between Morningstar UK Ltd and Morningstar regulated entities based in the UK. Registered address: 1 Oliver's Yard 55-71 City Road London EC1Y 1HQ.

About Morningstar® Equity Research™

Morningstar Equity Research provides independent, fundamental equity research differentiated by a consistent focus on durable competitive advantages, or economic moats.

For More Information
+1 312 696-6869
equitysupport@morningstar.com

22 West Washington Street
Chicago, IL 60602 USA

©2026 Morningstar. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses, and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete, or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages, or other losses resulting from, or related to, the information, data, analyses, or opinions or their use. Investment research is produced and issued by subsidiaries of Morningstar, Inc. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. To license the research, call +1 312 696-6000.